industrial cycles', the company would 'need to transition from merely being a steel supplier, and become instead a "solution provider", working together with key customers to "design and deliver" steel solutions which would improve the customer's product more cost effectively'. This was a radical change from the past.

The relentless pursuit of the transformation of the steel maker had a dramatic outcome. Talking about how Ratan's efforts gave TISCO a new lease of life, Muthuraman says that the years between 1992 and 2000 were a 'period of rebirth' and 'we earned our right to live'. Beyond 2000, it was a phase of strategic growth. With Ratan at the helm, Tata Steel 'came out of the grave', he adds. Following Ratan's policy of benchmarking products globally, the company made far-reaching changes across virtually the entire spectrum of its activities.

'Through a combination of change in the product mix, reduction in labour force and conscious cost-cutting, TISCO has been able to transform itself into one of the lowest cost producers of steel,' a leading business newspaper wrote in 2001. It was indeed a seminal achievement for a company that was only a few years ago 'labelled one of the most expensive steel producers in the world, even being written off [by] McKinsey & Co. as an inefficient operator in a sunset industry'.

Fast-tracking Change

As the century drew to a close, all the four phases of modernization at TISCO were complete. Soon thereafter, a fifth phase was launched. This was, however, different from the preceding phases inasmuch as the focus was not on the creation of physical assets but building superior intellectual capabilities in the company. It aimed at establishing 'leadership through people and performance'. Irani said, 'It will take on the far more difficult task of orienting people towards meeting the challenges and opportunities of the future.'

An integral part of this strategy was the emphasis on a 'knowledge management system' that would help 'build superior capabilities, reinforce performance focus and underpin new organization paradigm'. The programme also aimed at 'attracting, developing and retaining the most valuable asset—people'. Irani added, 'The scheme will create opportunities for rapid growth of the employees and improve performance management.'